



Deutsche Bank
Research

Q3 Tech Performance Review: AI euphoria meets macro headwinds

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.



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China and US agree to establish AI safety channel and continue trade and military talks

Chip Stocks Tumble After AI Leaders Call for Slowdown in Development

South Korea \$2 trillion stock rout breaks records as SK Hynix results disappoint

Meta unveils AI personal assistant linked to WhatsApp and Instagram



SUMMARY: AI euphoria meets macro headwinds



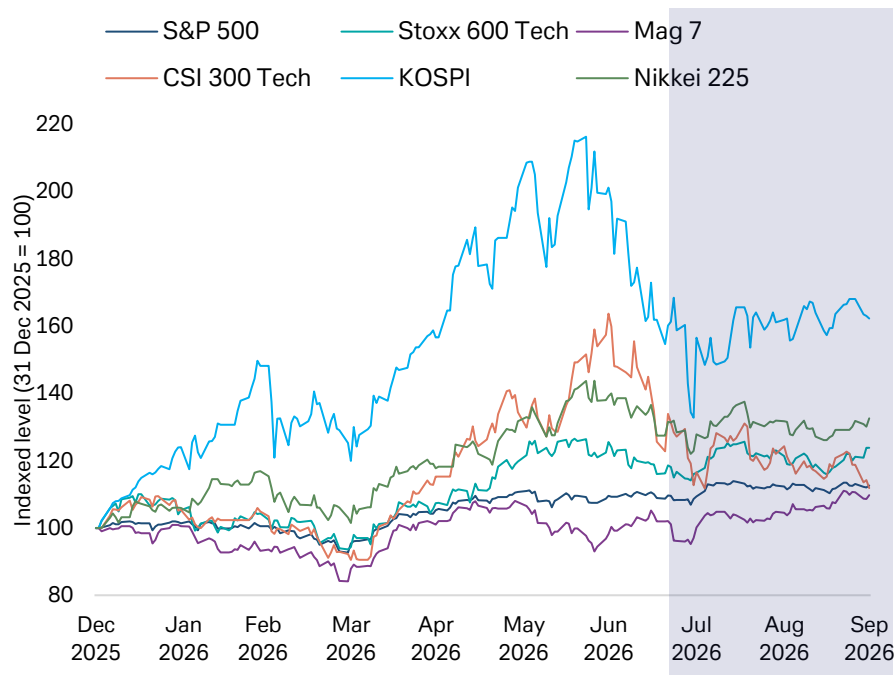
Tech remained a major driver of equity market performance in Q3. The Mag 7 outperformed the broader market while the S&P 500 also posted gains, lifted by mega-cap and tech stocks.

Still, tech's path in Q3 was volatile. July began with a reversal of the AI trade as investors questioned elevated valuations, the sustainability of AI spending and the outlook for semiconductor demand. That led to a large sell-off in chip stocks, with large falls in Q2 outperformers SK Hynix and Samsung contributing to a sharp decline in Korea's KOSPI. The Philly SOX experienced its worst monthly performance since 2008.

By August, however, sentiment had improved. The S&P 500 reached fresh record highs, even as US Treasury yields rose, supported by stronger cloud earnings and signs of AI monetization. September proved more challenging as higher oil prices, inflation concerns and rising bond yields weighed on risk assets, particularly semiconductors. The Fed also raised its policy rate by 25bp on Sep 16.

Yet, despite these macro headwinds, company guidance continued to indicate strong AI infrastructure demand, with Micron's stronger-than-expected revenue guidance on Sep 30 providing further evidence of robust demand for memory chips. Memory supply remains tight, semiconductor capex is accelerating, and the industry's attention has increasingly turned to bottlenecks in optical networking and photonics, as well as concerns around AI regulation and safety. Looking ahead, tech is likely to remain an important driver of equity returns into Q4, although elevated valuations and tighter financial conditions leave the sector sensitive to earnings disappointments.

Q3 started with doubts about the AI trade but ended with renewed confidence



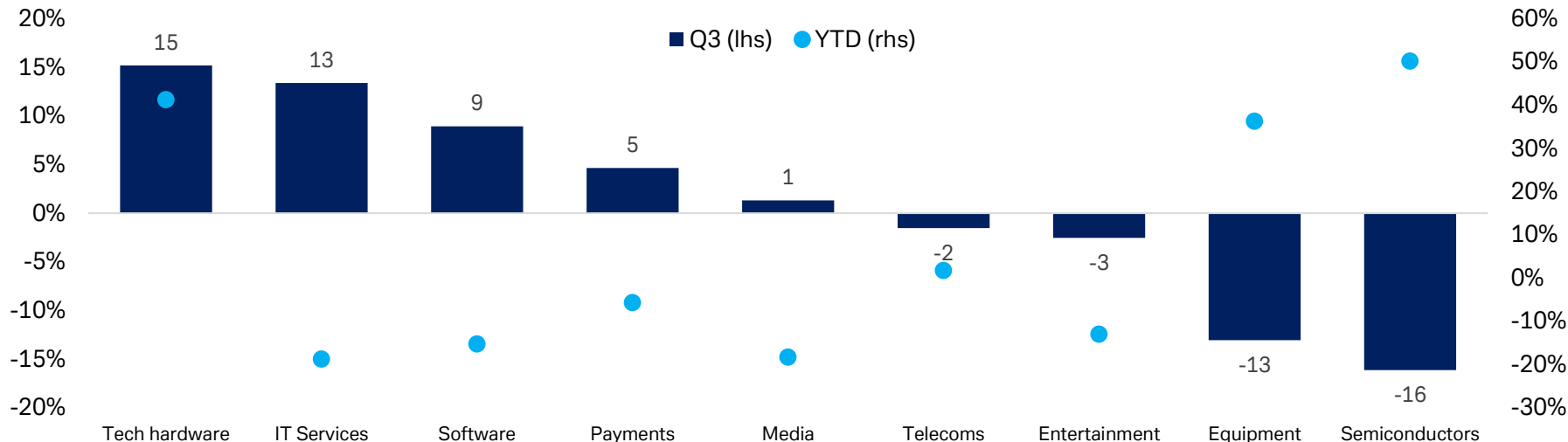
Sources: Deutsche Bank Research, Bloomberg Finance LP. Updated Sep 30. Returns in local currency.

1. GLOBAL INDUSTRY BREAKDOWN



Tech hardware, including Lenovo, Advantech, and HP Inc, rebounded in Q3. This was partly driven by accelerating AI server demand and the ongoing data center build-out, although continuing memory shortages raised costs for hardware manufacturers. Cloud and server providers, like Oracle, Dell and HPE, also highlighted strong AI-related demand. Semis and equipment were the weakest performers. Elsewhere, entertainment and telecoms posted modest declines. Finally, in Q3 investor attention increasingly shifted to AI agents, with Meta's Muse, Microsoft's Copilot and Salesforce's Agentforce among the prominent offerings.

Total returns for tech sectors over Q3 vs. YTD returns



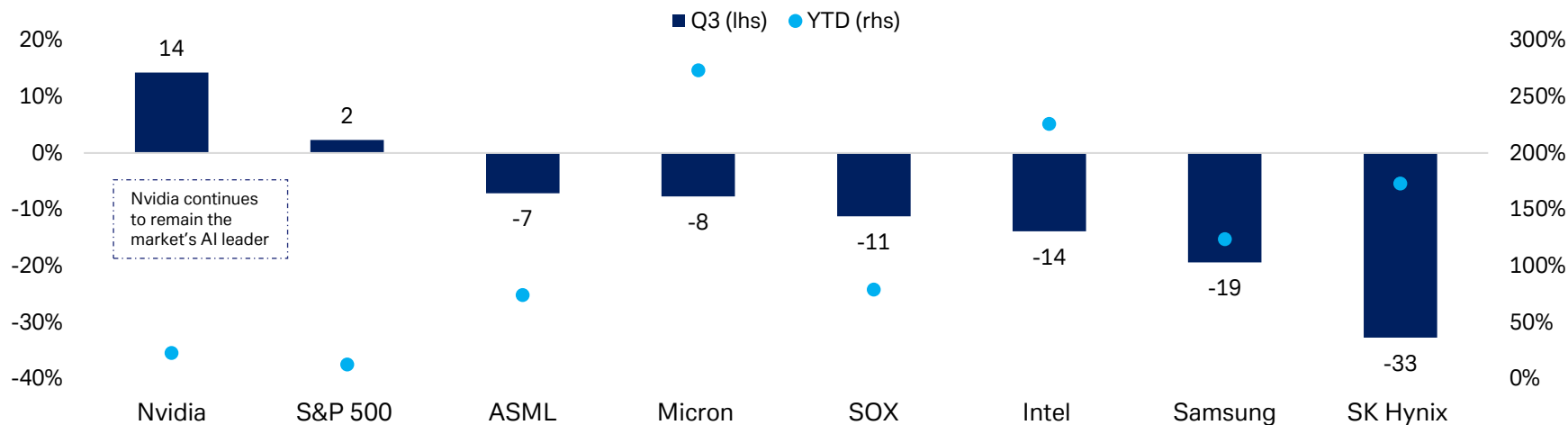
Source: Deutsche Bank Research, Bloomberg Finance LP. Median returns taken. Updated Sep 30.

2. SEMICONDUCTORS



Chip stocks were hurt initially by a reversal of the AI trade and then by rising bond yields. The Philly SOX index fell sharply in Q3, after its worst monthly performance in July (-21%) since 2008. Concerns about higher oil prices and rising rates continued to weigh on the sector in Aug and Sep. SK Hynix was among the weakest performers, amid an earnings disappointment relative to expectations and an unwinding of leveraged positions. Its Nasdaq ADRs began trading in July. Despite these headwinds, the semis outlook remains supported by AI infrastructure demand. Within semis, potential long-term beneficiaries include suppliers of AI infrastructure, memory including high-bandwidth memory (HBM), advanced packaging, photonics and semiconductor equipment.

Q3 vs. YTD 2026 total returns

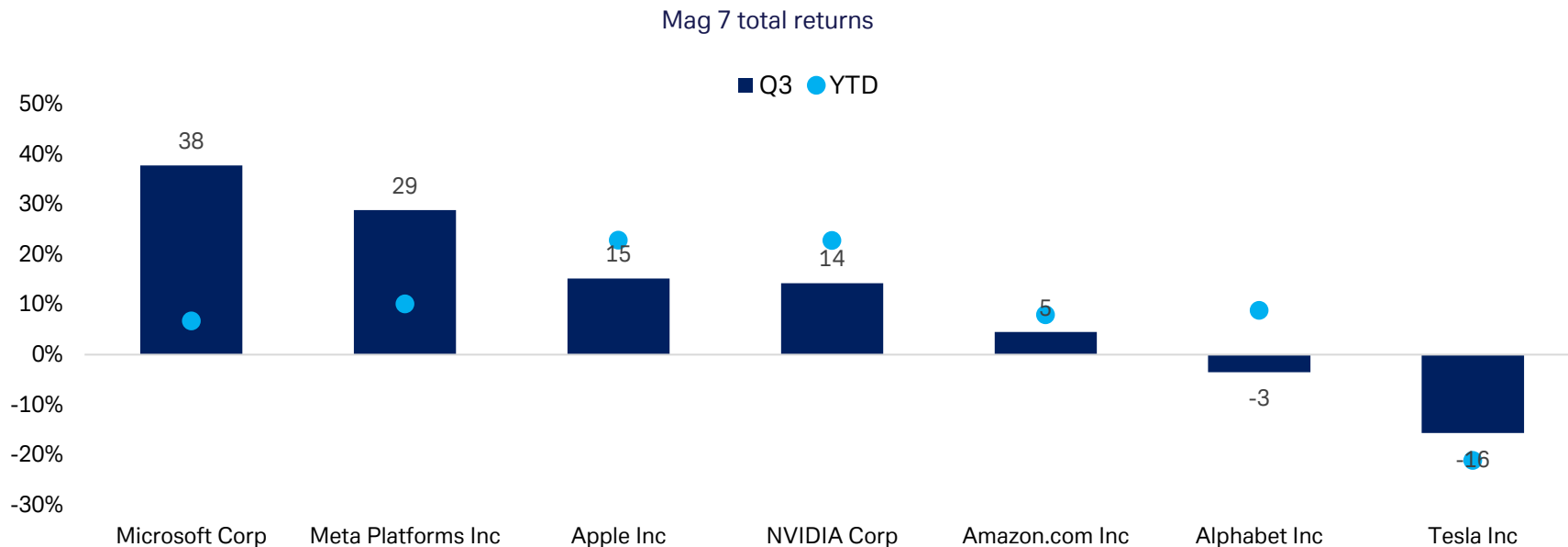


Source: Deutsche Bank Research, Bloomberg Finance LP. Updated Sep 30. Returns in local currency.

3. MAGNIFICENT 7



Microsoft led the group in Q3 after its Azure growth materially exceeded expectations, with strong Copilot adoption and guidance for continued positive free cash flow despite substantial capital spending. Meta also became a major focus in Sep following the launch of Muse. Amazon's AWS growth also accelerated, underscoring continued cloud demand. Tesla underperformed and remains the group's worst-performing stock YTD.

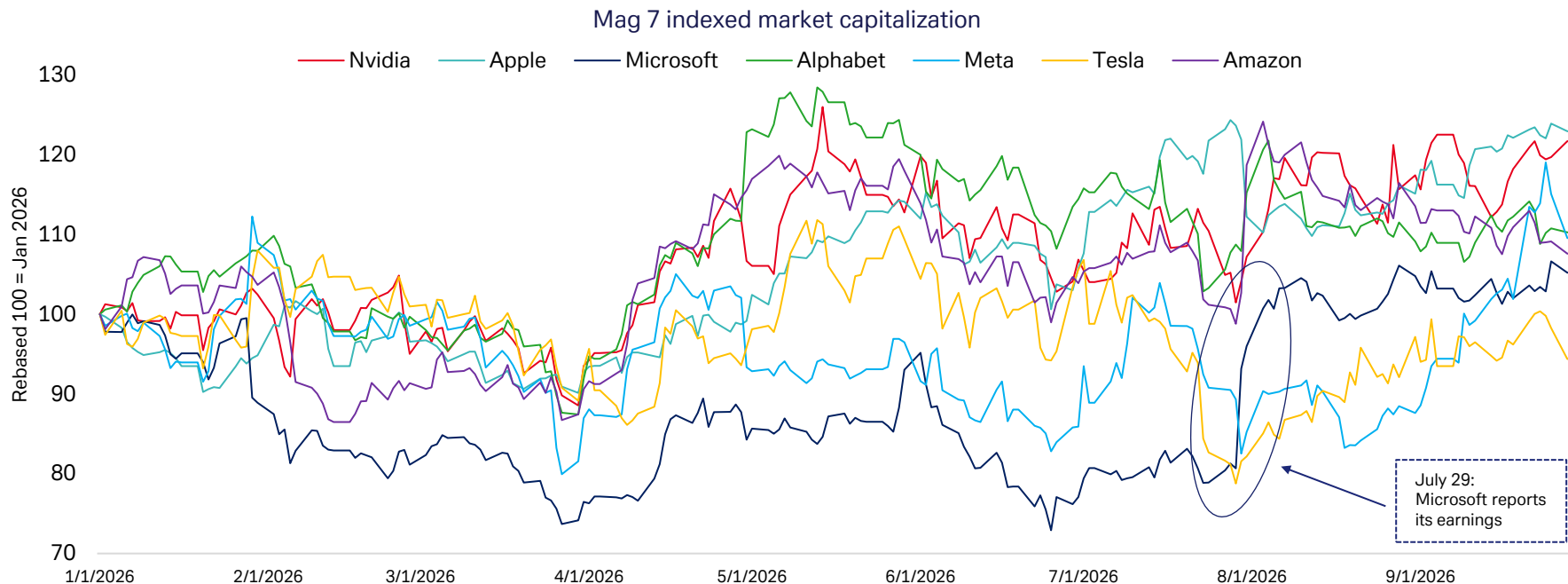


Source: Deutsche Bank Research, Bloomberg Finance LP. Updated Sep 30.

3.1 MAGNIFICENT 7: Microsoft's earnings rebound



On July 30, Microsoft rose more than 15%, its strongest daily gain since 2008, following results released the previous evening. The move added ~\$450bn to its market cap, the largest one-day increase on record at the time. For context, that daily increase is larger than the value of any company in Europe (except ASML).



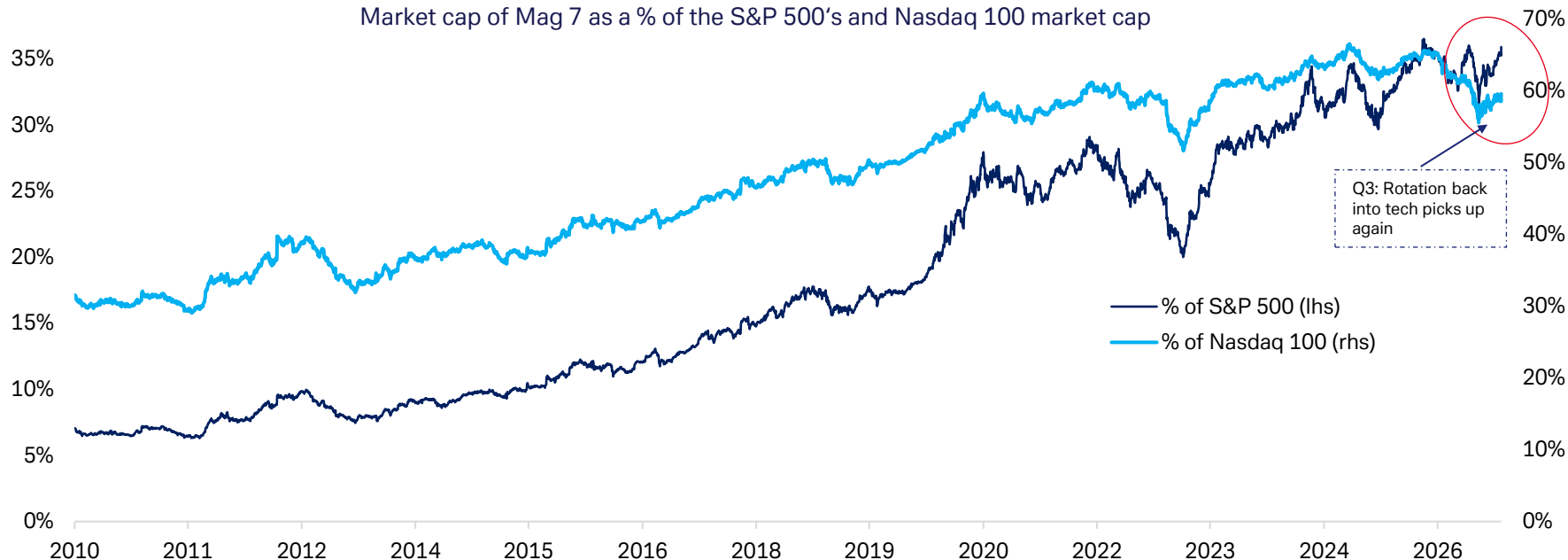
Source: Deutsche Bank Research, Bloomberg Finance LP. Updated Sep 30.

3.2 MAGNIFICENT 7: Market concentration



According to our equity strategists, from end-July to mid-September, tech-exposed stocks within the S&P 500 rose 14% while the remainder declined 3%. This divergence highlights the concentration of market returns in the tech-exposed sector. In late July, our strategists anticipated a rotation back into technology, which remains underway.

Market cap of Mag 7 as a % of the S&P 500's and Nasdaq 100 market cap



Source: Deutsche Bank Research, Bloomberg Finance LP. Updated Sep 30.

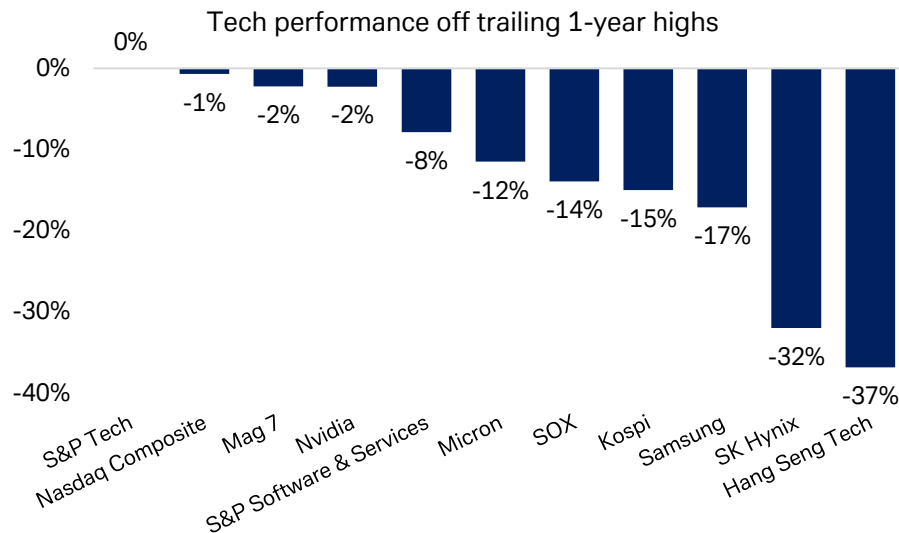
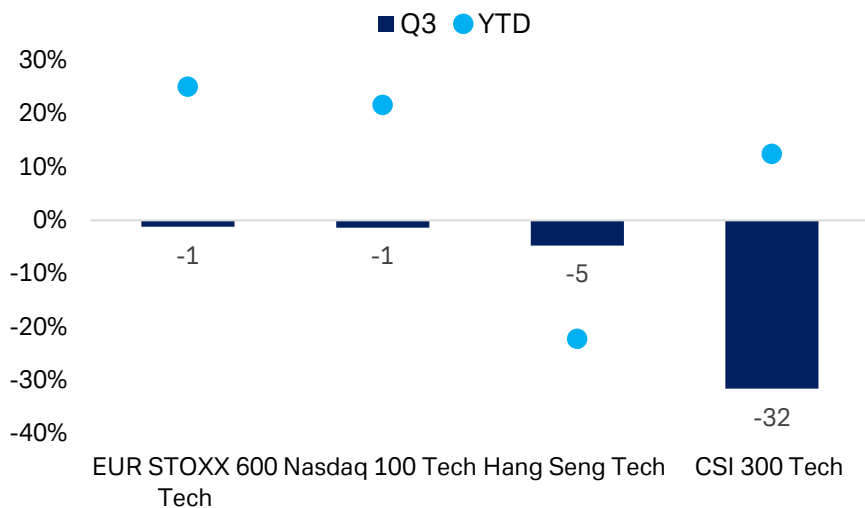
4. REGIONAL BREAKDOWN



After outperforming in Q2, mainland Chinese tech stocks posted large declines this quarter, hurt by July's sell-off. The CSI 300 tech series led the declines. Weakness also extended across Asia more broadly, with the KOSPI, Nikkei 225 and Hang Seng Tech down in Q3, driven by a chip sell-off and concerns over further Fed hikes. European tech equities were more resilient, with the STOXX Europe 600 Tech Index down slightly lower in Q3 but still well above its year-end level. Within European tech, Infineon underperformed, while Orange illustrated weakness in telecoms outside the index.

Top global tech indices – Q3 vs. YTD total returns

Notably, most of US tech is near recovery from their 1yr highs, unlike those in Asia

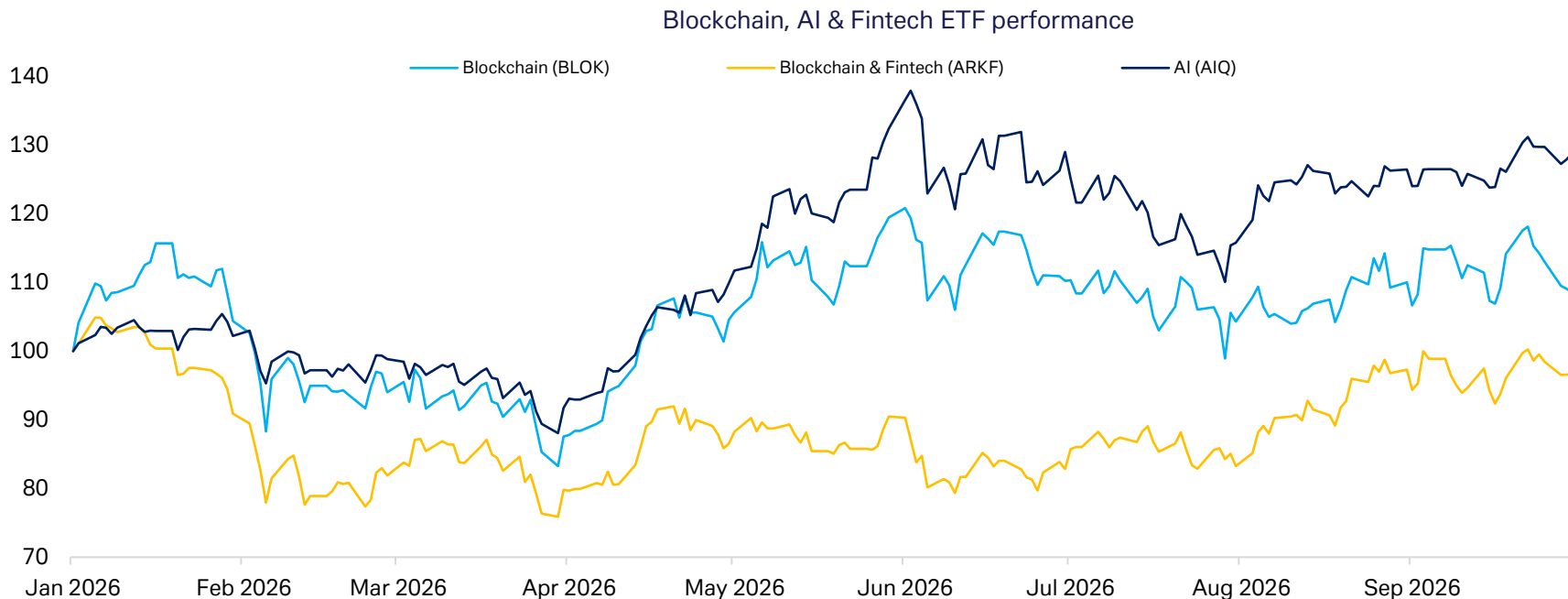


Source: Deutsche Bank Research, Bloomberg Finance LP. Data updated Sep 30.

5. CRYPTO, AI & FINTECH



Our thematic indicators also faced macro headwinds in Q3, although the fintech and blockchain ETF shown recovered during the quarter. Bitcoin also recovered strongly during Q3, trading around \$83k in late Sep, despite the setback when the Senate failed to advance the CLARITY Act on Sep 15.

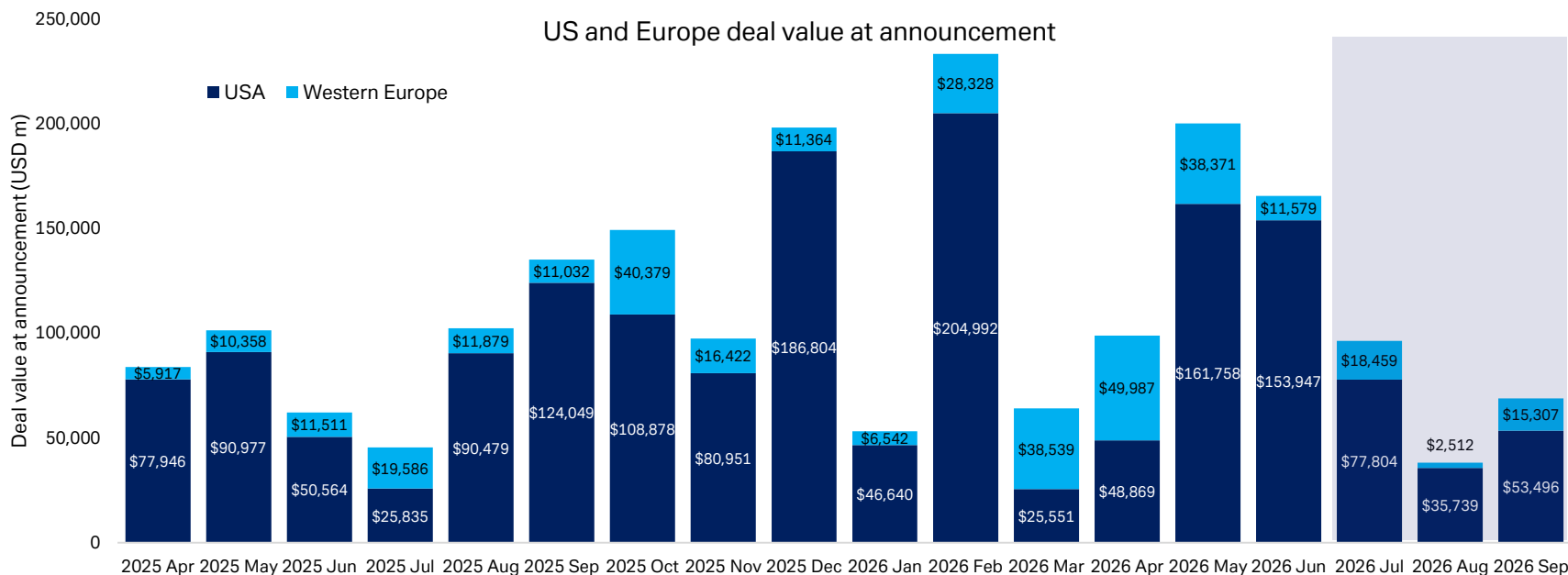


Source: Deutsche Bank Research, Bloomberg Finance LP. The following are based on AIQ ETF, BLOK US Equity ETF, and ARKF US Equity ETF. Updated Sep 30.

6. M&A



Q3 saw lower announced deal value than Q2, against a backdrop of uncertainty around the upcoming US midterm elections, ongoing geopolitical conflict and higher oil prices. Separately, several companies, including Oura and Holtec, have delayed their IPOs, citing uncertainty. Still, there were some notable deals, including Nvidia's agreement to acquire Hugging Face for ~\$12.93bn, announced on Sep 3, and AMD's announced acquisition of World Labs for \$8.2bn on Sep 28.



Source: Deutsche Bank Research, Dealogic. Updated Sep 30.

Appendix 1



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